D04 · Supplier Relationship Management

01 · Supplier segmentation

Supply Chain Reference Architecture v2.2 · mrsupplychain.ai

1 WHAT IT IS

Supplier segmentation is the strategic classification of the supplier base by relational value — strategic partners (joint roadmaps, executive sponsorship), leverage suppliers (competitive cost management), bottleneck suppliers (risk mitigation focus), and routine suppliers (automated transactions). The segmentation determines how much attention each supplier earns and which operating model applies to the relationship.

2 WHY IT MATTERS

Supplier segmentation is the SRM equivalent of the Kraljic matrix — the foundational classification without which every supplier gets the same treatment regardless of strategic importance. **The dominant pattern is the inverted attention curve: too much attention to high-volume routine suppliers (because they generate most transactions) and too little to strategic suppliers (because they have fewer issues that escalate)**. The Hackett Group benchmarks document this clearly **(Hackett Group, 2024)**: **top-performing procurement organizations spend 60%+ of category-management time on the strategic 10% of suppliers**, while bottom-quartile organizations spend less than 20% there. The segmentation framework is therefore not academic — it determines how scarce procurement attention is allocated, and that allocation determines where structural value gets captured.

3 HOW IT IS DONE

1. **Define segmentation criteria explicitly — strategic value, not just spend size.** Strategic value combines: spend size, criticality to product/customer experience, supply market scarcity, innovation contribution potential, and switching cost. A small-spend supplier providing a unique component for the flagship product is strategic; a large-spend supplier providing commodity inputs is leverage.
2. **Apply the segmentation to the entire supplier base — and produce honest distribution.** A typical base of 2,000 active suppliers segments to roughly 30-80 strategic, 150-300 leverage, 80-150 bottleneck, and the rest (60-70%) routine. If the strategic tier exceeds 5%, the criteria are too soft; if routine doesn't exceed 60%, the segmentation is being avoided.
3. **Define the operating model per segment explicitly — and resist hybrid attention.** Strategic: dedicated relationship manager, executive sponsor, joint roadmap, quarterly executive QBR. Leverage: category-manager managed, scorecards, annual review. Bottleneck: risk-focused management, dual-source planning, monthly monitoring. Routine: automated transactions, exception-based management, no QBR cadence.
4. **Allocate procurement headcount by segment — and audit the allocation quarterly.** If category-management hours are tracked, the allocation reveals whether segmentation is being operationalized. The pattern that 60%+ of hours should be on strategic suppliers is the operational test; deviations from that pattern indicate that segmentation is in the document but not in the calendar.
5. **Re-segment annually — relationships migrate as conditions change.** A strategic supplier whose innovation contribution has commoditized becomes leverage; a leverage supplier in a consolidating market becomes bottleneck; a routine supplier whose volume has grown into a critical dependency becomes leverage. Annual re-segmentation prevents the operating-model drift that wastes attention.
6. **Communicate segment status to suppliers selectively — strategic and bottleneck explicitly.** Strategic suppliers benefit from knowing their status (it enables relationship investment from their side); bottleneck suppliers benefit from understanding the risk-management focus (it enables joint mitigation work); leverage and routine generally do not need to be informed. The communication discipline shapes supplier behavior toward the operating model.

WORKED EXAMPLE — ILLUSTRATIVE

An industrial machinery manufacturer segments its **1,840 active suppliers across $720M annual spend**. The criteria-driven distribution: **54 strategic suppliers (3%, $315M spend = 44% of total)** including precision components, control systems, specialty bearings; **240 leverage suppliers (13%, $215M = 30%)** mainly raw materials and standard parts; **180 bottleneck suppliers (10%, $115M = 16%)** regulated chemicals, specialty alloys; **1,366 routine suppliers (74%, $75M = 10%)** covering MRO, indirect, services. Operating model rollout: **strategic 54** get dedicated relationship managers (12 RMs covering them with full-time focus), quarterly executive QBR with CPO, annual joint roadmap; **leverage 240** get category-manager attention with scorecards and annual reviews; **bottleneck 180** get risk-focused management with monthly monitoring and active dual-source planning; **routine 1,366** migrate to automated e-procurement with exception-based management. Procurement hours reallocation tracked: from 23% on strategic suppliers (year prior) to 64% (year 1 after segmentation). Value captured: **$18M in strategic supplier joint cost reduction programs** previously not addressed; **$8.6M in bottleneck supplier dual-source risk mitigation** preventing identified single-source failures; **4.2 FTE-equivalent freed** from routine-supplier transactional attention.

IN PRACTICE

Segment by strategic value, not just by spend

Spend volume is the easiest variable and the worst single criterion — a small-spend supplier of a critical component is strategic; a high-spend supplier of indirect consumables is leverage. Use composite criteria: criticality, switching cost, market position, capability fit. Spend alone produces the inverted attention curve the segmentation was meant to correct.

Produce honest distribution, not a flattering one

If 30% of suppliers come out strategic, the segmentation criteria are too soft and the model has lost its discriminating power. The strategic segment should be small enough to be operable — typically 5-10% of the supplier base — so the operating model can actually deliver the attention the segment implies. Inflated strategic segments are decorative.

Define a distinct operating model per segment

Strategic suppliers get quarterly QBRs and executive sponsors; leverage gets annual competitive tension; bottleneck gets risk monitoring and dual sourcing investment; routine gets automation and exception handling. Without a differentiated operating model, segmentation is a label without behavior — the framework only earns its keep when each segment is managed differently.

Communicate strategic status explicitly to suppliers

A supplier that does not know it is in the strategic segment behaves like a leverage supplier — because that is what the visible signals tell them. Telling strategic suppliers their status, what it means, and what is expected in return is the trigger for the reciprocal investment that makes strategic relationships strategic. Silence collapses the segment into the rest.

WHAT YOU WOULD USE

SRM PLATFORMS / SEGMENTATION ANALYTICS

SAP Ariba SLP, Coupa SIM, GEP Smart — Procurement suite modules with native supplier segmentation, integrated to spend cube and contract repository — strongest for operations operating SRM at scale **(SAP — vendor; Coupa — vendor; GEP — vendor)**.

Hicx, Ivalua, Jaggaer Supplier Management — Specialized supplier management platforms with segmentation engines, scorecards, and operating-model templates — strong for SRM-focused operations **(Hicx — vendor; Ivalua — vendor)**.

Sievo, Suplari, Spendkey (spend analytics extensions) — Spend analytics platforms with segmentation overlays that combine spend, category, and risk dimensions — strong for the data-driven segmentation foundation **(Sievo — vendor; Suplari — vendor)**.

Excel + Power BI dashboard on segmentation criteria — For operations not yet at scale — a structured Excel segmentation model with Power BI visualization, refreshed annually. The discipline of explicit criteria and calendar-level enforcement matters more than the platform.

4 SO WHAT

Treating every supplier the same is the most expensive way to treat none of them well. Define segmentation criteria explicitly (strategic value, not just spend), produce honest distribution, define operating model per segment, allocate procurement headcount accordingly, re-segment annually, and communicate status to strategic and bottleneck suppliers explicitly. The plants that operate segmentation as calendar discipline capture 60%+ of category-management time on the strategic 10% — and that's where the structural value of SRM lives.